

EQUITY RESEARCH

Argan, Inc.

NYSE: AGX | Engineering & Construction | Initiated July 2026, scored September 2026

SELL Price target \$299 · \$417.99 close · -28% implied

Market cap	Enterprise value	Net cash	Total debt
\$5,866M	\$4,837M	\$1,028.4M (\$73.29/share)	None
Shares outstanding	TTM revenue	TTM EBITDA	EV / TTM EBITDA
14,032,792	\$1,188.1M	\$218.3M	22.2x
Backlog	52-week range	Street consensus	Street avg target
\$2.5B (48% <12 mo)	\$197.00 – \$805.75	Buy	\$667.80

Jack Brooks · Fordham University, Gabelli School of Business · Published September 4, 2026, after Q2 FY2027 results.

Argan's fiscal year ends January 31; FY26 refers to the year ended January 31, 2026. All share and balance-sheet data as of July 31, 2026 unless noted.

1. Investment summary

Argan serves as a mid-scope engineering, procurement, and construction (EPC) contractor, with growth driven by broader AI-related energy investments. Power plant developers own the plants and buy the turbines, and Argan builds what's around them; AGX is an indirect beneficiary, not a direct AI-infrastructure player. The premium reflected direct data-center exposure that Argan doesn't have, and it has largely compressed, with the stock down roughly 38% from July. What remains is a valuation gap: AGX trades at 22.2x TTM EBITDA against 16.1x for its true EPC peers, and at 27.5x my normalized EBITDA of \$176M. I initiated coverage in July at ~\$675 with a directional bearish call; I now rate it Sell with a \$299 target, roughly 28% below spot. Conviction is tempered by the fact that the stock has already corrected 38% and the Street still sees ~60% upside.

Key points

1. AGX is EPC-only, owner-furnished turbines, ~80% gas-grid backlog; no named data-center offtaker on any power plant.
2. Power gross margin, FY23 through Q2 FY27: 19.8%, 14.1%, 16.7%, 22.4%, 24.0%, 22.4%, volatile in the high teens, full-cycle average 19.9%, normalized at 20%.
3. 22.2x EV/EBITDA against 16.1x for E&C peers; the Street's \$667.80 target implies roughly \$463M of EBITDA at my 18x multiple, about 2.6x my normalized \$176M.
4. Called in July at ~\$675; the stock is at \$417.99 today. The backlog plateau call confirmed: \$3.0B to \$2.9B to \$2.8B to \$2.5B, but Power margin did not revert.

2. What the business is

Argan consists of three reportable segments: Power, Industrial, and Teledata. Power is the main business, where Argan provides EPC and related services to power customers, including producers, utilities, and equipment suppliers. Argan has installed ~20 GW of power since its inception, with projects in the US, Ireland, and the UK. Gemma Power is the operating subsidiary of Argan.

Argan builds plants, and developers own them and buy the turbines. This is inferred, not disclosed, from four converging sources:

- Developer releases: SLEC reserves the Siemens SGT6-9000HL slots; CPV procures the GE 7HA.03 turbines.
- Revealed pricing: ~\$700–900/kW of gas EPC scope against ~\$1,400/kW all-in. Basin Ranch runs ~\$1.88B ÷ 1.35 GW ≈ \$1,390/kW. The gap is the turbines Argan doesn't book. (Derived)
- Risk factors cite steel, aluminum, and generic equipment supply, never turbines or turbine deposits; confirmation through absence.
- Margins: high teens to low 20s, where a turbine passthrough contractor reports single digits.

Roughly \$2.6M of Power PP&E additions on \$756M of revenue is consistent with an asset-light contractor that owns no equipment.

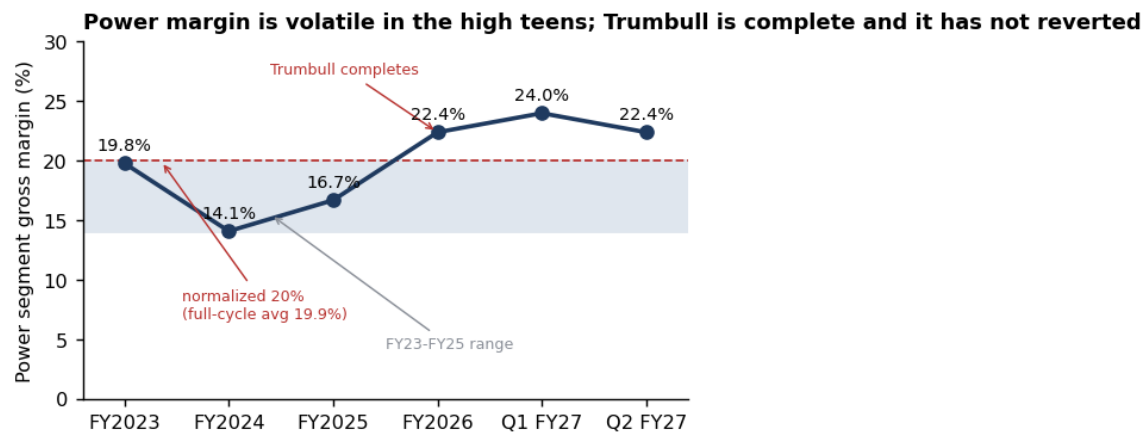
Current projects consist of various gas/thermal plants: Basin Ranch 1.4 GW (CY2029), Sandow Lakes 1.2 GW (CY2028), 860 MW ERCOT, 700 MW US, 170 MW Ireland, and Tarbert 300 MW biofuel. The Trumbull 950 MW project is complete. Every project is described by capacity, location, and grid market — there is no named offtaker, no behind-the-meter language, and no power purchase agreement (PPA) on any of them. Developer releases confirm grid intent, with Basin Ranch in ERCOT's generation loan program and Sandow operating within ERCOT. The reason for this absence is structural: Argan sells construction, not power, meaning there are no PPA or customer-concentration disclosures to make.

Argan's backlog was \$2.5B as of July 31, 2026, comprising roughly 80% gas, 11% renewable, and 8% industrial. The only direct data-center work in the filings is a pressure-vessel fabrication contract awarded in November 2025 for roughly 2,000 horizontal vessels for thermal energy storage and chilled water cooling at a customer's data centers; the total Industrial backlog is \$209.6M, or about 8% of the total. This is fabrication work rather than power generation.

3. Margins

3.1 The series

The Power segment gross margin reads as follows for FY23 through Q2 FY27: 19.8%, 14.1%, 16.7%, 22.4%, 24%, 22.4%, averaging 19.9% full-cycle, per the 10-K and 10-Q segment footnotes. Trumbull completed in Q1 FY27, and the reversion has not yet occurred. Q2 FY27's 22.4% is the third consecutive quarter above 22%, which is the main argument against normalizing at 20%. The normalization is rounded up to 20% full-cycle; the margin is volatile in the high teens and not trending. FY24 was the weak year, with FY26 and Q1 FY27 as the highest prints in the series. Industrial gross margins fell from 12.5% to 7.3%, and Teledata's fell from 24.7% to 16.6% YoY, meaning Power is carrying two deteriorating segments. If margin reverts to the high teens while the market capitalizes 22–24% as the run rate, both earnings and the multiple compress.



Source: Argan 10-K and 10-Q segment footnotes. FY23-FY25 per the FY2025 10-K segment footnote; FY26 onward per the FY2026 10-K and FY27 10-Qs.

Exhibit 1. Power segment gross margin, FY23–Q2 FY27. Source: Argan 10-K and 10-Q segment footnotes.

3.2 The bridge: Power GM is not EBITDA margin

Power gross margin is not EBITDA margin. Industrial and Teledata operate at lower margins and account for roughly a quarter of revenue. SG&A is roughly fixed; D&A is negligible, resulting in under \$2.5M a year against \$874M in revenue in FY25, meaning EBITDA is essentially operating income. The gap between Power gross margin and consolidated EBITDA margin across the three filed years is as follows: 9.9, 7.3, 6.3 points. It narrows as SG&A falls from 9.8% to 7.7% to 6.0% of revenue as revenue nearly doubles. At the current scale, SG&A is ~4.5%. This means that a 20% Power gross margin maps to roughly a 13% consolidated EBITDA margin, or about \$176M on \$1.35B in revenue. Q2 FY27 came in at 22.4%, compared to the consolidated EBITDA margin of ~15%, resulting in a 7.4-point gap; this is consistent with the FY23–FY25 relationship. Note that the EBITDA measure used throughout excludes other income, so it is not directly comparable to the company's reported EBITDA, which is built from net income and includes interest earned on the cash balance.

	FY2023	FY2024	FY2025	TTM	Q2 FY27
Power gross margin	19.8%	14.1%	16.7%	~23%	22.4%
Consolidated EBITDA margin	10.0%	6.8%	10.4%	15.2%	~15%
Gap (points)	9.9	7.3	6.3	7.8	7.4
SG&A % of revenue	9.8%	7.7%	6.0%	~5.8%	4.5%

Exhibit 2. The SG&A bridge. FY23–FY25 derived from 10-K segment footnotes; Q2 FY27 from the 10-Q and 8-K. Q2 falls inside the range the earlier years implied.

4. Valuation

4.0 Why comps, no DCF

This is a relative-value argument, and the comps answer the question that the thesis poses. A DCF would rest on the same normalized margin and a revenue path that Argan doesn't control; it would restate the prior assumptions rather than test them.

4.1 The comp read

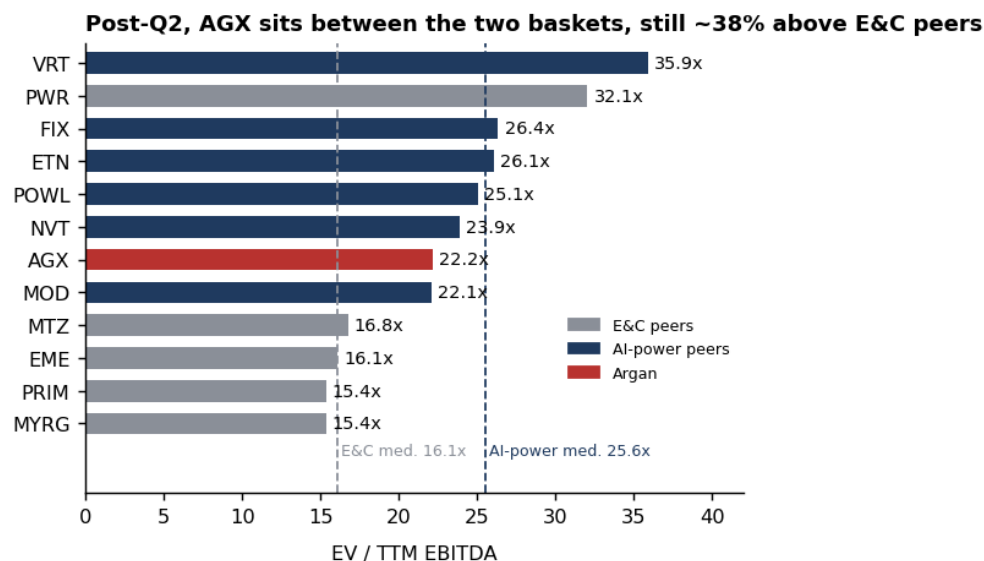
On P/E ratio, AGX at ~30x sits between the E&C median (27.4x) and the AI-power median (40.8x). On EV/EBITDA, it's at 22.2x, again in between: above the 16.1x E&C median and below the 25.6x AI-power

median. Argan's \$1,028.4M of net cash throws off ~\$33.6M a year of interest income, and the effective tax rate is 17.6%, so net income picks up earnings that have nothing to do with the operating business.

EV/EBITDA strips them out, which is why this valuation runs on it. The gap that matters is 22.2x against the 16.1x median for what Argan actually is. FIX and POWL also carry net cash and high margins, yet they screen at 25–26x, meaning a strong balance sheet alone doesn't set the multiple.

Ticker	Price	Mkt cap	EV	TTM EBITDA	EV/EBITDA	P/E (TTM)
MYR Group (MYRG)	\$287.78	\$4.5B	\$4.4B	\$291M	15.4x	27.3x
Primoris (PRIM)	\$70.52	\$3.8B	\$4.9B	\$322M	15.4x	27.4x
EMCOR (EME)	\$733.65	\$32.4B	\$32.0B	\$1.99B	16.1x	22.8x
MasTec (MTZ)	\$238.20	\$18.9B	\$21.8B	\$1.31B	16.8x	37.8x
Quanta (PWR)	\$608.27	\$91.5B	\$97.6B	\$3.05B	32.1x	69.5x
E&C median					16.1x	27.4x
Modine (MOD)	\$180.98	\$9.6B	\$10.2B	\$450M	22.1x	67.3x
nVent (NVT)	\$148.68	\$24.1B	\$25.4B	\$1.05B	23.9x	40.8x
Powell (POWL)	\$179.73	\$6.6B	\$5.9B	\$236M	25.1x	34.4x
Eaton (ETN)	\$389.71	\$151.4B	\$172.0B	\$6.64B	26.1x	40.9x
Comfort Systems (FIX)	\$1,548.43	\$54.4B	\$52.9B	\$2.00B	26.4x	38.1x
Vertiv (VRT)	\$256.15	\$98.6B	\$98.8B	\$2.68B	35.9x	58.0x
AI-power median					25.6x	40.8x
Argan (AGX)	\$417.99	\$5.9B	\$4.8B	\$218M	22.2x	~30x

Exhibit 3. Peer multiples per stockanalysis.com / S&P Global, September 1, 2026, same date and same basis. AGX reflects Q2 FY27 results reported September 2, 2026, and the September 4 close. PWR is the one E&C name priced like an AI-power peer; the median handles it.



Peers: stockanalysis.com / S&P Global, Sept 1 2026. AGX: EV \$4,837M / TTM EBITDA \$218.3M at \$417.99, reflecting Q2 FY27 reported Sept 2 2026.

Exhibit 4. EV/TTM EBITDA across both baskets.

4.2 Normalized inputs

Argan has a normalized revenue of \$1.35B, the H1 FY27 annualized run-rate, which sits within the internal throughput range and is corroborated by the company's disclosure that 48% of the \$2.5B backlog converts within twelve months. Power gross margin normalizes at 20%, per section 3. Applying the SG&A

bridge yields a consolidated EBITDA margin near 13%, resulting in \$176M of normalized EBITDA. That is roughly 19% below the TTM figure of \$218M, because current margins are running at the top of the cycle rather than at a normalized level.

4.3 The multiple

I'm choosing 18x EV/EBITDA as the appropriate multiple. AGX has 13% normalized EBITDA margins against MYRG at ~8% and MTZ at ~9%, which are real quality differences, and they justify a premium to the median contractor at 16.1x. The reason AGX shouldn't trade at 25.6x is that it isn't a data-center supplier. The strongest counter is that FIX and POWL are also cash-rich contractors with high margins and screen at 25–26x, and that those are the true comparable companies. Argan's revenue is lumpy project work, and the timing is controlled by developers, as opposed to FIX and POWL selling products directly to data centers. The difference between the project work and the direct sales is worth a lower multiple rather than the same one.

4.4 Target

$\$176\text{M} \times 18\text{x} = \3.17B EV , plus \$1,028.4M of net cash, divided by 14,032,792 shares = \$299, roughly 28% below the \$417.99 price.

	Implied price vs. \$418 spot			
	16.1x E&C med.	18x base	20x	25.6x AI-pwr med.
\$136M (17% GM)	\$229 -45%	\$248 -41%	\$267 -36%	\$321 -23%
\$156M (18.5% GM)	\$252 -40%	\$273 -35%	\$296 -29%	\$358 -14%
\$176M base (20% GM)	\$275 -34%	\$299 -28%	\$324 -22%	\$394 -6%
\$196M (21.5% GM)	\$298 -29%	\$325 -22%	\$353 -16%	\$431 +3%
\$225M (Q2 annualized)	\$331 -21%	\$362 -13%	\$394 -6%	\$484 +16%

Price = (EBITDA x multiple + net cash of 1,028.4M) / 14.03M shares. Revenue held at 1.35B; margin varies with Power GM. Bold = base case.

Exhibit 5. Implied price across EBITDA and multiple assumptions. Only the AI-power multiple applied to peak earnings clears the current price.

5. Ceilings

5.1 Industry ceiling

Turbine manufacturing gates how much new US gas can start, with global orders around 110 GW against 60–70 GW a year of capacity. Order books are sold through 2027, with roughly six-year lead times. Wood Mackenzie has ~63 GW of US gas additions 2026–2030, which translates to about 12–13 GW a year. GE Vernova is at 20 GW annualized, will reach 24 GW by mid-2028, and is sold out through 2030. This means that only 10–15 GW a year can physically start. Argan's FY26 awards of ~\$2.5B are roughly 3–4 GW at ~\$800/kW, which is 25–30% of that: a peak-cycle share against Bechtel, Kiewit, Fluor, and OEM consortia. That share is a peak rather than a baseline, so sustained growth requires holding it against those competitors in an easing supply environment.

5.2 Internal ceiling

Argan currently runs nine named Power projects concurrently, per the FY26 10-K project list. The average project is ~\$400M (Derived), converting over roughly 3 years (Derived), which implies roughly \$1.2B of annual revenue throughput at the current project load. That understates demonstrated throughput: Q2 alone annualizes to \$1.54B. The \$1.35B normalized revenue sits between the two, which is why it is a reasonable mid-cycle level rather than a stretch, and it is corroborated by the company's disclosure that 48% of the \$2.5B backlog converts within twelve months.

5.3 Backlog history

Argan's backlog had plateaued for two years: FY23 ~\$822M, FY24 ~\$824M. It then jumped to \$1.36B in FY25 and \$2.9B in FY26. Within FY26, the backlog moved \$1.9B, \$2.0B, and \$3.0B as Basin Ranch and the 860 MW award landed. Since then, the backlog has read: \$2.9B, \$2.8B, \$2.5B, which is four consecutive quarters without an increase, and Q2's drop came despite more than \$260M of new awards. Historically, the backlog steps up to a plateau and sits there; it does not compound. Q2's \$384M annualizes to \$1.54B, showing that Argan is completing booked work faster than it is winning new projects: a sign that the company is running at full capacity. The record revenue that bulls point to and the shrinking backlog that bears point to are the same fact.

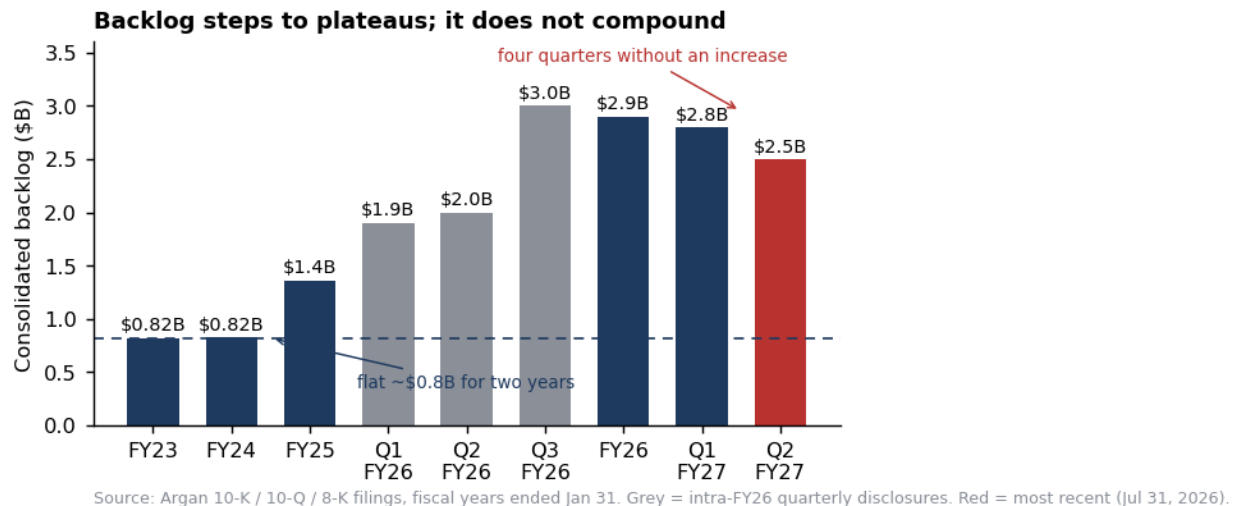


Exhibit 6. Consolidated backlog by period. Source: Argan 10-K, 10-Q, and 8-K filings.

5.4 Risks to the rating / what would make me wrong

- A flagship plant like Basin Ranch or Sandow discloses a named data-center offtaker, or announces a behind-the-meter model.
- Power-segment margin holds durably above the high-teens band. This has partially triggered, with three consecutive quarters above 22% following Trumbull's completion.
- Backlog growth proves to be a sustainable annual run-rate rather than a one-time surge; FY27 awards matching FY26 would fulfill this.
- Argan expands direct data-center capacity. The company purchased land in Farmville, North Carolina, for a second fabrication facility supporting the pressure-vessel contract and future orders, expected to be completed in Q3 FY27. If that facility scales, direct exposure ceases to be immaterial.
- The turbine bottleneck eases. GE Vernova's ramp from 20 to 24 GW annualized, combined with larger project sizes, would raise the industry ceiling beyond the one described above.

The broader bull case is that AI-driven load growth makes the indirect/direct distinction financially irrelevant, in which case Argan benefits either way, regardless of classification.

6. Postmortem

The July 2026 research document is attached separately and carries its own date. This section scores it against what has happened since.

6.1 The July call

I initiated coverage in July at ~\$675 and argued that the price required EBITDA to roughly double relative to what the backlog could produce. The mechanism was multiple compression as the market recognized Argan as an EPC contractor rather than a direct AI-power name. I had no published price target; the call was directional.

6.2 What happened

The price was ~\$675 with a 53x P/E ratio at initiation, then dropped to \$405 and a mid-30s P/E on Sept 1. The de-rating was idiosyncratic: the median comp fell about 10% over the same month, while Vertiv rose 5.7% and AGX fell 29.3%. The stock is still up 77% over 52 weeks, meaning this drop is froth off a large run, not a collapse. Q2 stopped the slide, with the stock rallying after earnings were released.

E&C peer	1-month		AI-power peer	1-month	
EMCOR	-7.6%		Vertiv	+5.7%	
MYR Group	-14.1%		Comfort Systems	-10.2%	
Quanta	-9.2%		nVent	-4.9%	
MasTec	-10.4%		Powell	-17.6%	
Primoris	-14.8%		Eaton	-5.9%	
			Modine	-10.2%	
ARGAN	-29.3%				

Exhibit 7. One-month total return to September 1, 2026. Median comp ≈ -10%; worst comp -17.6%; AGX -29.3%. Source: stockanalysis.com.

6.3 Scored: what confirmed

The structural findings hold and were never at risk from the price: Argan is EPC-only with owner-furnished turbines, no plant has a named data-center offtaker or PPA, and the backlog is ~80% gas-grid. These are all filing-sourced facts. The backlog plateau thesis was confirmed and strengthened, with four consecutive quarters without backlog increase. Q2's decline came despite more than \$260M of new awards. The SG&A bridge held on out-of-sample data. Built from FY23–FY25, it implied a 6–7-point gap between Power gross margin and consolidated EBITDA margin; Q2 printed 7.4.

6.4 What I got wrong

- The margin prediction failed on the first test. I argued Power margin would revert toward the mid-teens once Trumbull rolled off. Trumbull completed in Q1 FY27, and Q2 printed 22.4%, which was the third straight quarter above 22%, and up from 19.6% a year earlier. I adjusted normalization from mid-teens to 20%, and revenue from \$1.2B to \$1.35B. The valuation gap, however, survives both revisions, resulting in an unchanged rating.
- I had no timing view: I was right on the level, not on the speed.
- The Street never followed. The consensus remains Buy, with an average target of \$667.80 (per stockanalysis.com as of Sept. 4, 2026). In July, I argued that analysts liked the business but couldn't justify their own targets; the average sat below the price. That has inverted: the average now sits well above it.
- Short interest was the weakest leg in July and remains so today at 7.3% of float.

6.5 Where it stands

Sell, \$299 target, roughly 28% below spot.

The first leg of the thesis played out when the stock fell 38% as the multiple compressed. That leg is now spent, with Q2 showing the market repricing Argan on results rather than classification. Record revenue and EPS sent the stock up 9% in after-hours trading, settling at \$417.99 two sessions later. What remains is not a claim that the market has Argan in the wrong category. It is a claim that a contractor earning \$176M of normalized EBITDA is worth \$299 and currently trades near \$418.

Five analysts cover the name, and their \$667.80 (per stockanalysis.com as of Sept. 4, 2026) average implies an EBITDA base of roughly \$463M at my 18x multiple, about 2.6x my normalized \$176M. The disagreement, therefore, is about earnings, not the multiple. My target rests on normalizing revenue at \$1.35B and Power margin at 20%. Q2 pushed against both of these, with revenue annualizing to \$1.54B and margin holding at 22.4%. One more quarter like that, and the normalization looks stale rather than conservative.

Sources and conventions

Disclosed = stated in a filing. Derived = author's estimate from disclosed inputs. Primary sources: Argan FY2026 10-K (year ended January 31, 2026), FY2025 10-K, Q1 and Q2 FY2027 10-Qs, Q2 FY2027 8-K (September 2, 2026); CPV and Sandow Lakes developer releases; Wood Mackenzie, EIA, and GE Vernova for turbine and pipeline data; stockanalysis.com / S&P Global Market Intelligence for market data.

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